

SWOT analyses and SWOT strategy formulation

Before developing new strategies, the situation of the Austrian FOC is analysed using a commonly used strategic analysis method (SWOT, Strengths, Weaknesses, Opportunities and Threats) and upon the findings of these analyses a creative method is applied to formulate the SWOT strategies. SWOT analysis is an instrument of strategic management of companies or products. Internal strengths and weaknesses as well as external influences, which can be opportunities or threats are analysed in order to derive promising future strategies. Applying SWOT the most important items according to the topics strengths, weaknesses, opportunities and threats are specified for the object under investigation (a company or a supply chain) and then the items per topic are ranked. SWOT analyses are useful for scanning internal strengths and weaknesses of organisations as well as for illuminating the opportunities and risks of a dynamic environment. From the 1960s until the present, American business schools evolved the SWOT concept, which stresses the importance of a strategy to fit into the company's internal and external situation (see e.g., Andrews 1980). Particularly in both the strategic planning and early decisions stages, the SWOT analysis is a commonly used tool (Bartol and Martin 1998) that is recognised to be well-established for these matters (Dyson 2004). It is an easy-to-use method that provides a transparent initial overview and identifies important problem areas. Furthermore, SWOT encourages learning about the situation and reflecting as to what can be done (Sorensen et al. 2004). In spite of the importance of exact knowledge of an enterprises strengths and weaknesses as well as of the dynamic context, many enterprises only have vague information about these strategic valuable facts (Houben et al. 1999). As disadvantage of SWOT can be mentioned that after analysing the external and internal situation of the company, the selection of promising strategies is not supported by quantitative methods. Strategy selection is "...mainly based on the qualitative analysis, capabilities and expertise of the persons participating in the planning process..." (Pesonen et al. 2001, p. 536). Several attempts have been made to expand SWOT with quantitative methods, weighing and rating the internal and external factors (see e.g., Kotler 1988; Wheelen and Hunger 1995). More recent studies connect SWOT with the analytic hierarchical process (AHP, Saaty 1980) to make factors commensurable and to support a more quantitative basis in the strategic planning process (Kurttila et al. 2000).

Applying SWOT

According to Lobriser and Abplanalp (1998) a SWOT analysis can be executed with the assistance of a matrix. Initially, there is a blank matrix with four sectors (strengths, weaknesses, opportunities, threats) and helpful questions. Filling in the sections to answer the questions can be done by brainstorming or asking the stakeholders through interviews. These interviews used questions asking explicitly for the strengths and weaknesses, but also for customer requirements. As a following step, similar arguments should be summarised and ranked according to their importance, beginning with the most important. To support the following step: strategy formulation - each issue is coded, for example, S1 is shorthand for the highest-ranked, internal strength.

Map out SWOT strategies

A general assumption of SWOT analyses is that a good strategy maximises strengths and opportunities and minimises threats and weaknesses (Kohlöffel 2000). The main SWOT table lists the internal and external success factors, shows the call for action and enables the formulation of strategies. For mapping out the strategies, the SWOT table has to be searched for logical SWOT combinations which answer the following questions (Lobriser and Ablanalp 1998): (1) Which strength fits with which opportunity (SO-combination)? (2) Which strength fits with which threat (ST-combination)? (3) Which weakness fits with which opportunity (WO-combination)? and (4) Which weakness fits with which threat (WT-combination)? The formulation of strategies starts with finding the combinations. Four different strategy types can be considered: (1) SO-strategies: internal strength(s) can be used to realise external opportunity(ies) (ideal case), (2) WO-strategies: reduce internal weakness(es) or develop missing strength(s) to realise external opportunities, (3) ST-strategies: internal strength(s) are used to minimise external threats and (4) WT-strategies: reduce the internal weakness(es) to avoid external threats (only defensive strategy, worst case scenario). For each evolved strategy considered, SWOT combination(s) are listed in order to create a rational comprehensible result (e.g., S1/O3 means that strength number 1 and opportunity number 3 have been considered). The aim of the strategy formulation is to produce possible and attractive strategies. The disadvantage of the SWOT matrix is that certain combinations are not considered as SW or others, but one strategy option derived from an SW-combination should be considered here.

Evaluation of the strategic options

When selecting strategy options, offensive strategies using strengths and opportunities are preferred against defensive options, simply minimising risks and weaknesses (Lobriser and Ablanalp 1998). So, SO-strategy options are discussed first, followed by WO and ST options and at least WT options are analyzed.

Applying SWOT analyses provides a good overview and makes it easy to pinpoint important problem areas. Reflecting using SWOT, including internal and external success factors provides a solid basis for strategic thinking. One way to combine proven success factors is through the SWOT strategy formulation technique, there e.g., internal strengths or measures to eliminate weaknesses are combined with promising opportunities. The major advantage is that the formulation of strategies is directly connected to the SWOT analysis, providing a rational reproducible result.

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